i.e.,= $\frac{MU_A}{P_A} = \frac{MU_O}{P_O} = K$

Eg. $^{50}/_{10} = {}^{20}/_{4} = 5$

K- Constant Marginal Utility of Money

In views of this equilibrium, this Law is also called the "Law of Consumers Equilibrium".

In case $\frac{MU_A}{P_A}$ is less than $\frac{MU_O}{P_O}$ he would transfer the money from Apple to Orange till it is equal. This process of substitution gives him maximum satisfaction both from Apple and Orange. Hence, this Law is also called "Law of Substitution". Eg. For Apple $^{50}/_{25}$; for Orange $^{20}/_{4}$. In such situation, spending more money on orange is wiser.

Table 2.2 The Law of Equi-Marginal Utility

Units of Commodities	Apple			Orange		
	Total Utility	Marginal Utility	$\frac{MU_A}{P_A}$	Total Utility	Marginal Utility	$\frac{MU_O}{P_O}$
1.	25	25	25/2 = 12.5	30	30	30/1 = 30
2.	45	20	20/2 = 10	41	11	11/1 = 11
3.	63	18	18/2 = 9	49	8	8/1 = 8
4.	78	15	15/2 = 7.5	54	5	5/1 = 5
5.	88	10	10/2 = 5	58	4	4/1 = 4
6.	92	4	4/2 = 2	61	3	3/1 = 3

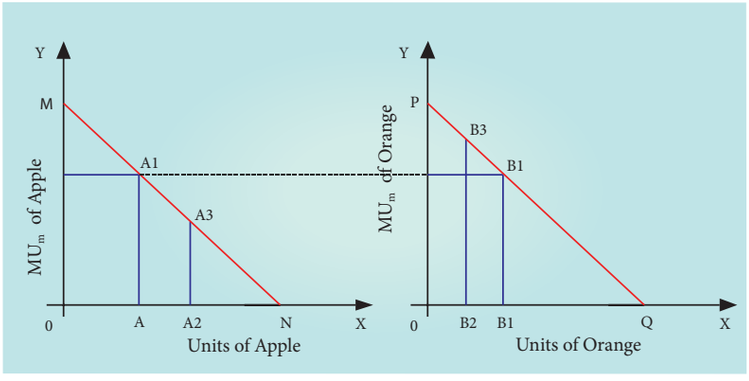


Diagram 2.2

Illustration

This Law can be illustrated with the help of table 2.2. Let us assume that the consumer has a given income of ₹14. He wants to spend this entire income (i.e., ₹14) on Apple and Orange. The price of an Apple is ₹2 and the price of an Orange is ₹1. This law can be illustrated with the help of Table 2.2

If the consumer wants to attain maximum utility, he should buy 5 units of

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